

ITC Ltd

ITC

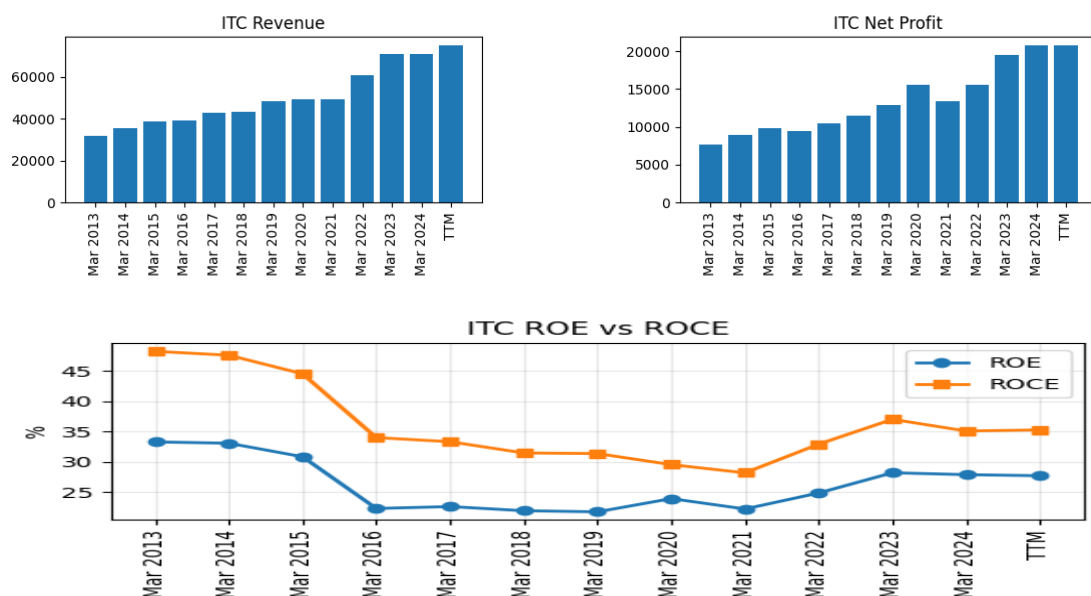
Key Financial Metrics

ROE 27.67%	ROCE 35.25%	Debt / Equity 0.00
Revenue CAGR 7.61%	FCF Conversion 82.79%	Quality Score 64.06

Company Profile

Company	ITC Ltd
Sector	Consumer Staples
Industry	Diversified FMCG
Market Cap (■ Cr)	332,245.58
P/E Ratio	47.85
P/B Ratio	3.24
Dividend Yield	4.26%

Financial Performance



AI Investment Summary

ITC Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has excellent profitability, strong capital efficiency, limited revenue growth, moderate cash-flow quality and conservative leverage. The overall financial quality score is 64.1/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Buy. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

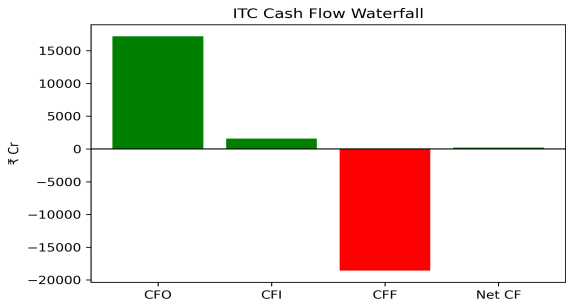
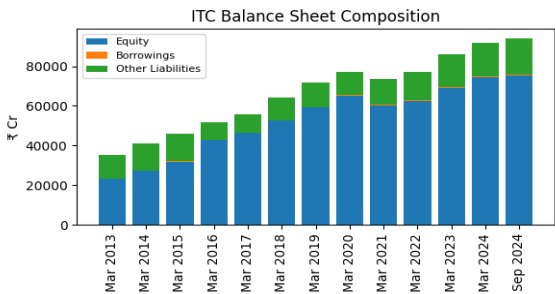
Recommendation	BUY
Risk Level	LOW
Confidence	HIGH

Recommendation Reason:

The recommendation is based on an adjusted financial score of 66.1/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 66.1

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Moderate
Cash Flow	Moderate
Leverage	Strong
Valuation	Expensive

Capital Allocation

Liquidating Assets